decade ago stock prices moving up or down more than 1 percent in a single trading session was a rare occurrence. At present we get 1 percent moves several times a month.

By the way, the odds against making a living in the day-trading business are about the same as the odds against making a living at racetracks, blackjack tables, or video poker. In fact, I think of day trading as at-home casino care. The drawback to the home casino is the paperwork. Make twenty trades per day, and you could end up with 5,000 trades a year, all of which must be recorded, tabulated, and reported to the IRS. So day trading is a casino that supports a lot of accountants.

People who want to know how stocks fared on any given day ask, Where did the Dow close? I'm more interested in how many stocks went up versus how many went down. These so-called advance/decline numbers paint a more realistic picture. Never has this been truer than in the recent exclusive market, where a few stocks advance while the majority languish. Investors who buy "undervalued" small stocks or midsize stocks have been punished for their prudence. People are wondering: How can the S&P 500 be up 20 percent and my stocks are down? The answer is that a few big stocks in the S&P 500 are propping up the averages.

For instance, in 1998 the S&P 500 index was up 28 percent overall, but when you take a closer look, you find out the 50 biggest companies in the index advanced 40 percent, while the other 450 companies hardly budged. In the NASDAQ market, home to the Internet and its supporting cast, the dozen or so biggest companies were huge winners, while the rest of the NASDAQ stocks, lumped together, were losers. The same story was repeated in 1999, where the elite group of winners skewed the averages and propped up the multitude of losers. More than 1,500 stocks traded on the New York Stock Exchange lost money in 1999. This dichotomy is unprecedented. By the way, we tend to think the S&P 500 index is dominated by huge companies, while the NASDAQ is a haven for the smaller fry. By the late 1990s, NASDAQ's giants (Intel, Cisco, and a handful of others) dominated the NASDAQ index more than the S&P 500's giants dominated its index.

One industry that's teeming with small stocks is biotechnology. My high-tech aversion caused me to make fun of the typical biotech enterprise: $100 million in cash from selling shares, one hundred Ph.D.'s, 99 microscopes, and zero revenues. Recent developments inspire me to put in a good word for biotech—not that amateurs should pick their biotech stocks out of a barrel, but that biotech in general could play the same role in the new century as electronics played in the last. Today a long list of biotechs have revenue, and three dozen or so turn a profit, with another fifty ready to do the same. Amgen has become a